

# Nature and Scope of Business Economics

## 1. Positive vs. Normative Economics-Examples:

| Positive Economics                                              | Normative Economics                                                        |
|-----------------------------------------------------------------|----------------------------------------------------------------------------|
| The unemployment rate is 6%.                                    | The government should reduce unemployment benefits.                        |
| A rise in fuel prices leads to higher transportation costs.     | The government should subsidise fuel to lower costs.                       |
| A rise in the minimum wage leads to job losses in some sectors. | The minimum wage should be increased to improve workers' living standards. |

## 2. Nature of Business Economics (SPAM-MINT- Love sir's way of learning):

- ◆ Business Economics is a Science
- ◆ Based on Micro Economics
- ◆ Incorporates elements of Macro Analysis
- ◆ Business Economics is also an Art
- ◆ Use of Theory of Markets and Private Enterprises
- ◆ Pragmatic in Approach

◆ Normative in Nature

◆ Interdisciplinary in nature

## 3. Central Economic Problems:

1. What to Produce? (Deciding goods & services based on limited resources.)
2. How to Produce? (Labour vs. Capital Intensive technology choices.)
3. For Whom to Produce? (Allocating goods & services among people.)
4. What Provisions are to be made for economic Growth? (Saving & investing for future growth.)

## 4. Definition of Types of Economies:

- ◆ **Capitalist Economy:** Private ownership, profit-driven, minimal government role.
- ◆ **Socialist Economy:** Government controls production and collective ownership.
- ◆ **Mixed Economy:** Combined sector i.e. mixture of both market economy and planned economy.

## 5. Persons Behind Subjects (Fathers):

- ◆ Economics: Adam Smith
- ◆ Business Economics: Joel Dean